

RISE PREMIER SCHOOL OF ACCOUNTANCY

HALF BOOK MOCK # 02 SOLUTION

Answer # 01:

Journal Entries

Date	Description	Dr.	Cr.	06
		Rs. In “Million”		
	Computers Purchases / COGS	450,000	450,000	
	Depreciation Expense Computers	45,000	45,000	
	Furniture Depreciation Expense	13,333	13,333	
	COGS Furniture	543,333	543,333	
	Suspense Account Sales	50,000	50,000	
	Inventory Purchases / COGS	50,000	50,000	

Profit / Loss Account		Balance Sheet	
Sales	2,350,000	PPE	2,020,300
COGS	(933,333)	Cash & Bank	310,000
	1,416,667	Account Receivable	1,110,000
Operating Expenses	(166,667)	Stock	1,100,000
Profit	1,250,000		4,540,300
		Share Capital	1,500,000
		Retained Earnings	2,360,300
			3,860,300
		Account Payable	680,000
			4,540,300
02		04	

Answer # 02:

Bhola Solutions Limited (BSL) Statement of Changes in Equity For the year ended 31 December 2021

(All amounts in Rs Million)

Particulars	Share Capital	Share Premium	Retained Earnings	Revaluation Surplus	Total Equity
Balance at 1 Jan2021	<u>300</u>	<u>160</u>	<u>180</u>	<u>65</u>	<u>705</u>
Profit for the year	-	-	60	-	60
Transfer of Incremental Depreciation	-	-	7	(7)	-
Interim Dividend (Cash 10%)	-	-	(30)	-	(30)
Final Dividend (Cash 20%)	-	-	(60)	-	(60)
Revaluation Surplus on Land	-	-	-	5	5
Balance at 31 December 2021	<u>300</u>	<u>160</u>	<u>157</u>	<u>31.46</u>	<u>648.46</u>

Workings - (Revaluation Adjustment):

Land:

Revalued amount: Rs. 80 million

Original amount: Rs. 75 million

Revaluation surplus: Rs. 5 million (Increase in revaluation surplus)

Answer # 03:

Journal Entries

Date	Description	Dr.	Cr.				
		Rs. In “Million”					
01.01.15	Machine Cash	500,000	500,000	02			
31.12.15	Depreciation Expense (500,000 / 5) Accumulated Depreciation	100,000	100,000				
31.12.16	Depreciation Expense (500,000 / 5) Accumulated Depreciation	100,000	100,000				
31.12.17	Depreciation Expense (300,000 / 4) Accumulated Depreciation	75,000	75,000				
Estimate Note		W1 - Estimate Table	Old	New	Difference	05	
Effect on current year profits (2017)		25,000.0	2015	100,000	-		
Effect on future year profits (2018 - 2020)		(25,000.0)	2016	100,000	-		
		-	2017	100,000	75,000		25,000
			2018	100,000	75,000		25,000
			2019	100,000	75,000		25,000
			2020	-	75,000		(75,000)
				500,000	300,000		

Answer # 04:

Historical Cost:

1.5

	Rs.
Cost	250,000
Less: Accumulated depreciation	(120,000)
Carrying amount	130,000

Fair value

The fair value is market value (exit price) of Rs. 130,000 without deducting cost to sell of Rs. 15,000.

01

Value in use

1.5

	Rs.
Year 1	$\text{Rs. } 60,000 \times 1.12^{-1} = 53,571$
Year 2	$\text{Rs. } 60,000 \times 1.12^{-2} = 47,863$
Year 3	$\text{Rs. } 50,000 \times 1.12^{-3} = 35,607$
Total PV	= 137,041

Current Cost:

02

	Rs.
Cost of new asset	280,000
Less: Accumulated depreciation*	(168,000)
Current cost carrying amount	112,000

*The replacement cost is of new machine and needs to be adjusted for three years' usage. $(280,000 \div 5 \times 3 \text{ years} = 168,000 \text{ depreciation})$.

Answer # 05:

	Continued Operations	Discontinued Operations
Earnings attributable to ordinary shareholders during a period (W- 5)	761,000,000	155,000,000
Weighted average number of shares in issue during the period (W-1)	16,646,666	16,646,666
EPS	45.71	9.31

Date	Number of shares	Factor	Weighted average number
Opening Shares on 1 January	10,000,000	$\times 5/12 \times 16/15 \times 120/100 \times 110/100$	5,866,666
Right shares issued on 31 May 2016 (10,000,000 / 100 $\times$ 40)	4,000,000		
	14,000,000	$\times 3/12 \times 120/100 \times 110/100$	4,620,000
Bonus shares issued on 31 August 2016 (14,000,000 / 100 $\times$ 20)	2,800,000		
	16,800,000	$\times 4/12 \times 110/100$	6,160,000
			16,646,666

(W-2) Right issue bonus Fraction (Issued on 31 May)

$$= \text{Actual cum rights price} \div \text{Theoretical ex-rights price}$$

$$= 32 / 30$$

$$= 16 / 15$$

Theoretical ex-rights price (Rs.)

Before (100 $\times$ Rs. 320)	= 3,200
New (40 $\times$ Rs. 25)	= 1,000
After (140 $\times$ Rs. 30 (bal.))	= 4,200

(W-3) Bonus issue

Before = 100

New = 20

After = 120

(W-4) Bonus issue

Before = 100

New = 10

After = 110

(W-5) Earnings attributable to ordinary shareholders during a period:

Profit from continuing operations after tax	= 765
Less: Preference dividends on irredeemable shares (4 $\times$ 10 $\times$ 10%)	= (4)
Profit net of Preference dividends	= 761

Answer # 06:

i.	(c)	Rs. 348,000	02
ii.	(a)	Rs. 325,000	02
iii.	(b)	Rs. 460,000	02
iv.	(c)	Rs. 180 million	02
v.	(b)	Relevance and faithful representation	01
vi.	(c)	Comparability	01

Answer # 07:
(a)

Sr.	Ratio	Formula	Azaadi Limited	Average
1.	Return on capital employed	$\frac{\text{Profit before interest \& tax}}{\text{Avg. capital employed}} \times 100$	$\frac{3400 + 800}{26,600 + 8,000} \times 100 = 12.14\%$	16.8%
2.	Asset Turnover	$\frac{\text{Net Sales}}{\text{Avg. capital employed}}$	$\frac{56,000}{26,600 + 8,000} \times 100 = 1.62 \text{ times}$	1.4 times
3.	Gross Profit margin	$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$	$\frac{14,000}{56,000} \times 100 = 25\%$	35%
4.	Operating Profit margin	$\frac{\text{Operating Profit}}{\text{Net Sales}} \times 100$	$\frac{4,200}{56,000} \times 100 = 7.5\%$	12%
5.	Current Ratio	$\frac{\text{Current Asset}}{\text{Current Liabilities}}$	$\frac{11,200}{7,200} = 1.55 : 1$	1.25 : 1
6.	Inventory turnover	$\frac{\text{Cost of goods sold}}{\text{Average Inventory}}$	$\frac{42,000}{(8,300 + 10,200)/2} = 4.5 \text{ times}$	3 times
7.	Creditor turnover days	$\frac{\text{Avg. Trade Payable}}{\text{Credit purchase}} \times 365$	$\frac{5,400}{43,900} \times 365 = 45 \text{ days}$	64 days
8.	Debt to Equity ratio	$\frac{\text{Long term loan}}{\text{Equity}} \times 100$	$\frac{8,000}{26,600} \times 100 = 30\%$	38%

(b) Analysis of Financial Statements
Profitability

Azaadi Limited has a ROCE significantly lower at 12.1% than the sector average of 16.8%. This is mainly due to the lower than average gross profit margin and consequent low operating profit margin. The operating expenses are actually lower (17.5%) as a percentage of revenue than the sector average of 23% (35% – 12%) so the problem lies between revenue and cost of sales. This is consistent with the fact the directors regularly hold 'all stock must go' sales, when inventory will be sold at a discount to its normal retail prices to encourage sales to be made. The inventory turnover is quite brisk (4.5 times compared to a sector average of 3 times) but Azaadi Limited's mark-up of 33.3% $((25 / 75) \times 100)$ is significantly below the sector average of 54% $((35 / 65) \times 100)$. Azaadi Limited is maintaining turnover by keeping prices down.

The other component of ROCE, net asset turnover, is slightly higher than the sector average. This is due to the buoyant turnover, as the ratio will have been depressed by the property revaluation and the capitalisation of the development expenditure, which have increased the asset base. It is to be hoped that the development expenditure will generate the expected revenue. If it had been necessary to expense it for the year ended 30 September 2022, Azaadi Limited would have reported a loss before tax of \$1.6 million.

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Liquidity

Azaadi Limited has a current ratio of 1.55:1 compared to the sector average of 1.25:1. Both appear low, but satisfactory for the retail sector as the cash cycle is fairly rapid. Inventory can be turned into immediate cash and this is particularly true for Azaadi Limited with its high inventory turnover level. It has no trade receivables which is consistent with expectations for a retail company. The lower than average payables days (45 compared to 64) and the absence of an overdraft suggest that Azaadi Limited is not suffering liquidity problems.

Gearing

Azaadi Limited's debt to equity ratio is 30%, well below the sector average of 38% and the interest rate on the loan notes is below the ROCE of 12.1%, meaning that the borrowings are earning a good return for the business. The loan notes need to be repaid in two years' and the company does not currently have sufficient cash reserves to repay the loan. The company paid a large dividend of \$1.5m in the year and it would be advisable not to make such large payments in the future in order to fund the loan repayments. The interest cover of 5.25 times (4,200 / 800) is satisfactory. Azaadi Limited is not having any problems servicing its loan and is unlikely to give lenders any particular concern.

Conclusion:

There are no going concern worries for Azaadi Limited but it does have an issue with low profitability. It appears to be positioned at the bottom end of the jewellery market selling high volume cheap items rather than more valuable pieces on which there would be significantly higher profit margins. This may or may not be the most advantageous strategy in a period of recession.

Answer # 08:

Banana Limited
Statement of Changes in Equity
For the year ended June 30, 2022

01

	Share Capital	Share Premium	Revaluation Reserve	Retained Earnings	Total	Marks
	----- Rs. in million -----					
Opening balance (01.07.20)	300	-	102	348	750	
Effect of Policy Change (W-1)	-	-	-	26.54	26.54	0.5
Effect of errors prior periods (W-1)	-	-	-	18.38	18.35	0.5
Opening balance (01.07.20) - restated	300	-	102	392.92	794.92	
Final Cash Dividend (2020) (300 x 10%)	-	-	-	(30)	(30)	01
Right issue $\left(\frac{300}{10} \times 40\% \times 10\right)$	120	168	-	-	288	02
$\left(\frac{300}{10} \times 40\% \times 14\right)$						
Net profit for the year (98 - 9.19 + 4.00 + 10.11)	-	-	-	102.92	102.92	01
Other comprehensive income	-	-	(14)	-	(14)	01
Closing Balance (30.06.21) - restated	420	168	88	465.84	1,141.84	
Interim Bonus Dividend (420 x 15%)	63	(63)		-	-	01
Net profit for the year (84 - 9.19 + 4.00 + 10.70)	-	-	-	89.51	89.51	01
Other comprehensive income	-	-	25	-	25	01
Closing Balance (30.06.22)	483	105	113	555.35	1,256.35	

*Alternatively, you may use Retained earnings Dr. and Share Capital Cr. By 63 million.

(W-1) Journal entries

Change in Accounting estimate

30.06.19	30.06.20	30.06.21	30.06.22
IP 9	IP 9.54	IP 10.11	IP 10.70
F.V gain 9	F.V gain 9.54	F.V gain 10.11	F.V gain 10.70
PPE 4	PPE 4	PPE 4	PPE 4
Dep. 4	Dep. 4	Dep. 4	Dep. 4
$\left[\frac{150 \times 60\% - 10}{20} \right]$			

Rectification of error

30.06.19	30.06.20	30.06.21	30.06.22
PPE 36.75			
Repair 36.75			
Dep. 9.1875	Dep. 9.1875	Dep. 9.1875	Dep. 9.1875
PPE 9.1875	PPE 9.1875	PPE 9.1875	PPE 9.1875
$\left[\frac{36.75}{4} \right]$			

(b) Basic EPS (2022)

$$\text{Basic EPS (2022)} = \frac{89.51 (a)}{48.3 (W-2)} = \text{Rs. 1.85 per share}$$

$$\text{Basic EPS (2021: Restated)} = \frac{102.92 (a)}{39.23 (W-4)} = \text{Rs. 2.62 per share}$$

01

01

(W-1) Analysis – Bonus issue

Before	100
Change	15
After	115

(W-2)

Date	Description	Change Before	No. of share	After Before	Weighted Average No. of shares
01.07.21	Opening balance		42	$\times \frac{7}{12} \times \frac{115}{100}$	28.175
01.02.22	Bonus Issue	$42 \times \frac{15}{100}$	6.3		
			48.3	$\times \frac{5}{12}$	20.125
					48.3

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(W-3) Analysis – Right issue

	Shares	M.V Per Share	Total M.V
Before	100	33	3,300
Change	40	24	960
After	140	30.43	4,260

(W-4)

Date	Description	$\frac{\text{Change}}{\text{Before}}$	No. of share	$\frac{\text{Before}}{\text{After}}$	Weighted Average No. of shares
01.07.20	Opening balance		30	$\times \frac{10}{12} \times \frac{33}{30.43} \times \frac{115}{100}$	31.18
01.05.21	Right Issue	$30 \times \frac{40}{100}$	12	$\times \frac{2}{12} \times \frac{115}{100}$	8.05
			42		
					39.23

Answer # 09:

Basic EPS to be disclose in statement of comprehensive income for the year ended 31.12.19

$$\text{Basic EPS (2019)} = \frac{1130 (W-1)}{717.468 (W-4)} = \text{Rs. 1.57 per share}$$

02

$$\text{Basic EPS} = 2.11 \times \frac{1}{\frac{108}{100} \times \frac{106}{100} \times \frac{20}{18.5}} = \text{Rs. 1.70 per share}$$

02

(2018: Restated)

(W-1)

	Rs. in "000"	
PAT	1,254	01
Less; Preference dividend Irredeemable (1,240 x 10%)	(124)	
	<u>1,130</u>	

(W-2) Analysis – Bonus issue

Before	100	100	01
Change	8	6	
After	108	106	

(W-3) Analysis – Right issue

	Shares	M.V Per Share	Total M.V	
Before	5	20	100	01
Change	2	15	30	
After	7	18.5	130	

(W-4)

Date	Description	Change Before	No. of share	Before After	Weighted Average No. of shares	
01.01.19	Opening balance		500	$\times \frac{3}{12} \times \frac{108}{100} \times \frac{106}{100} \times \frac{20}{18.5}$	154.7	02
31.03.19	Bonus issue	$500 \times \frac{8}{100}$	40			
			540	$\times \frac{1}{12} \times \frac{106}{100} \times \frac{20}{18.5}$	51.56	01
01.05.19	Ordinary share		25			
			565	$\times \frac{2}{12} \times \frac{106}{100} \times \frac{20}{18.5}$	107.9	01
30.06.19	Bonus issue	$565 \times \frac{6}{100}$	33.9			
			598.9	$\times \frac{1}{12} \times \frac{20}{18.5}$	53.95	01
01.08.19	Right Issue	$598.9 \times \frac{2}{5}$	239.56			
			838.46	$\times \frac{5}{12}$	349.358	01
					<u>717.468</u>	